PRODUCT TEARDOWN · OCTOBER 2026

Uber product teardown

When a driver cancels, how do you keep the rider from switching apps?

Existing product · Lens: ride reliability in India · Data: Q2 2026 (April to June 2026)

01 · PRODUCT

An existing, profitable global platform

Uber runs ride-hailing, delivery and freight. This teardown looks only at the rider app for car rides in India.

Why Uber

Q2 2026 adjusted EBITDA of $2.8 billion, so the levers are rider trust and frequency, not survival.

Why India

Rapido, a cheaper local rival, is closing in, and riders have long complained about cancellations and surge (2022 survey).

WHY IT MATTERS

₹1,511 cr

Uber India's FY25 loss, up from ₹89 cr a year earlier.

Revenue was flat at ₹3,849 crore while Rapido grew 44% (Storyboard18).

A global giant still growing 24%

208M
monthly active platform consumers in Q2 2026, up 16%

3.9B
trips in Q2 2026, up 18%

$58.0B
gross bookings, up 24% (22% constant currency)

$2.8B
adjusted EBITDA, up 33%

$14.2B
revenue, up 12%

~45%
Uber India four-wheeler share, industry estimate

Who competes, and how Uber earns

Competitors in India

Rapido: over 20% share, gross order value from about $500M to $1.25B in FY25

Ola: 25–30%, down from over 40% in FY24

Uber's CEO said Rapido replaced Ola as the main rival.

Revenue, Q2 2026

Mobility $7.4B (rides)

Delivery $5.2B, up 28%

Freight $1.6B, up 26%

Advertising above $2B a year (secondary source).

03 · PROBLEM

Cancellations and surge pricing are Indian riders' long-running complaints.

In 2022, 71% of surveyed riders still faced driver cancellations. Rules in 2025 now cap surge at 2x, while a cheaper rival grows.

HOW MIGHT WE

make a booked ride feel reliable and fairly priced, so riders stay with Uber instead of switching?

04 · USERS

Four riders, one to serve first

SERVE FIRST · 18 OF 20

Daily Commuter

Rides to work several times a week and needs the car to arrive.

SECOND · 16 OF 20

Airport and Trip Planner

Books ahead for flights and cannot afford a no-show.

THIRD · 14 OF 20

Late-Night Rider

Rides after dark and faces surge and long waits.

LATER · 11 OF 20

Occasional Rider

Rides now and then and compares with Rapido and Ola.

Scored on size, headroom, fit with the fix and strategic value (my judgement, to validate with interviews).

05 · JOURNEY

The journey breaks after the booking

Stage	What happens	Feeling	Where it breaks
See price	Checks fare and car options	Calculating	Surge shown without a reason
Request	Taps to book	Hopeful	None
Wait	Watches the driver approach	Anxious	ETA slips
Cancel	Driver cancels, rider rebooks	Frustrated	Lost time, higher fare
Ride and pay	Travels and pays	Neutral	Fare differs from quote
Rebook	Chooses Uber or Rapido next time	Calculating	Cancel memory lowers loyalty

Five pain points, two worth fixing first

#	Pain point	Evidence	Score
1	Driver cancels after accepting	2022 survey: 71% faced driver cancellations	18
2	Surge with no clear reason	2022 survey: 45% paid over 1.5x via surge; 2025 cap is 2x	16
3	Fares rising	Fare hike to offset fuel costs (undated report)	13
4	Waiting and ETA	My inference from the journey	13
5	Support and refunds	My inference; no figure found	11

Score out of 20 on reach, severity, evidence and fixability (my judgement). Sources: LocalCircles via The News Minute (2022), IBTimes. Evidence is dated; I found no 2026 figures.

07 · SOLUTIONS

Five ideas for the cancel moment

A

Fare lock on re-match

Next driver at the original fare or lower, with priority

B

Surge explainer

Say why, and alert me if the price drops

C

Cancel penalty

Fewer offers for repeat cancellers (2025 rules fine only ₹100)

E

Auto credit

Small ride credit after a driver cancel

D

Commuter pass

Monthly pass that caps surge on regular routes

A fare lock ranks first on RICE

Rank	Solution	Reach	Impact	Confidence	Effort	RICE
1	A. Fare lock on re-match	70	1	0.7	2	24.5
2	B. Surge explainer	60	0.5	0.6	1	18.0
3	C. Cancel penalty	50	2	0.5	3	16.7
4	E. Auto credit	40	1	0.5	1.5	13.3
5	D. Commuter pass	25	2	0.4	2.5	8.0

RICE = (Reach × Impact × Confidence) ÷ Effort. Inputs are illustrative estimates, not Uber data.

09 · MVP

MVP: lock the fare when a driver cancels

Re-match the rider at the original fare or lower, put them first in the queue, and say so in the app.

+5 pts
rides completed after a cancel

+2 pts
7-day rebook rate

4 weeks
50/50 test in 3 cities

10 · TEST

A 4-week 50/50 A/B test

Item	Definition
Hypothesis	A locked fare after a cancel keeps riders on Uber instead of switching apps
Success	Rides completed after a cancel +5 points; 7-day rebook rate +2 points
Guardrails	Driver earnings per hour, cancellation rate, cost per trip, support tickets
Stop rule	Stop if cost per re-matched trip passes a cap, or driver earnings fall

11 · GO TO MARKET

Four gated phases

Phase	Timing	What happens	Gate
1. Pilot	Weeks 1–4	A/B test in 3 cities	Rebook +2 pts, earnings flat
2. Expand	Weeks 5–8	6 more cities, driver briefing	Holds across city sizes
3. Launch	Weeks 9–12	All India, "Fare locked" message	Cost per trip within cap
4. Iterate	Month 4+	Test B and C on top	RICE re-check

Channels: in-app message at the cancel moment, push to lapsed commuters, driver-app notice.

12 · RISKS

What could go wrong

Margin

Locking fares costs Uber money. Mitigate with a fare-lock cap.

Driver pay

Re-matches must not cut earnings. Pay drivers on the original fare.

Weak evidence

Complaint evidence is from 2022. Validate with fresh data and interviews first.

TAKEAWAYS

Three things to remember

1. Uber is growing 24% worldwide, but Uber India lost ₹1,511 cr in FY25.
2. The break is the cancellation, where the rider loses time and trust.
3. Test a locked fare first. A win is +2 points of 7-day rebooking with driver earnings flat.

What would you test first?

SOURCES

Sources and caveats

Sources

Uber Q2 2026 results (SEC filing)

Storyboard18: Uber India, Rapido, share

Outlook Business: Rapido and Ola

The News Minute, National Herald (2022), Entrackr (2025 rules), IBTimes

Caveats

India shares are industry estimates

Complaint evidence is from 2022

Scores are my own estimates

Thank you

Questions and feedback welcome